NEO’S OVERHEAD: WHAT’S IN IT AND WHY IT’S HIGH

Deep dive on v2 slides 5 and 6 · FY2025, updated with Q3 2026 where noted

$273M of G&A = 37.6% of sales

Only **$176M** is the day-to-day back office (billing, IT, finance, HR, offices, fees). The rest is non-cash charges ($68M), “one-time” items ($22M) and leadership pay ($7M).

30.7 pts behind Quest

SG&A of 48.5% vs. 17.8% is a $223M/yr gap. About a third is accounting and one-offs; about half is the cost of being a small, specialty oncology lab. The rest is plain excess.

Wrong yardstick, partly

Against specialty labs (Myriad, Exact, Castle, Fulgent) NEO’s total SG&A is *low*. Its problem is G&A alone: 37.6% vs. a 27.4% peer median, the highest of the group.

Real cash gap: ~4 pts, ~$27M

Strip out stock pay, depreciation, amortization and one-offs and NEO’s cash G&A is 25.2% of sales, vs. ~21% at Castle. That is the size of the prize, and it matches the ~$24M in the v2 deck.

⊙ **Why it’s high:** four acquisitions never fully folded together, a billing operation that waits ~93 days to get paid (Quest: ~48), stock pay at 7× the big-lab rate, three CEOs in four years, and a public-company cost base spread over just $727M of sales.

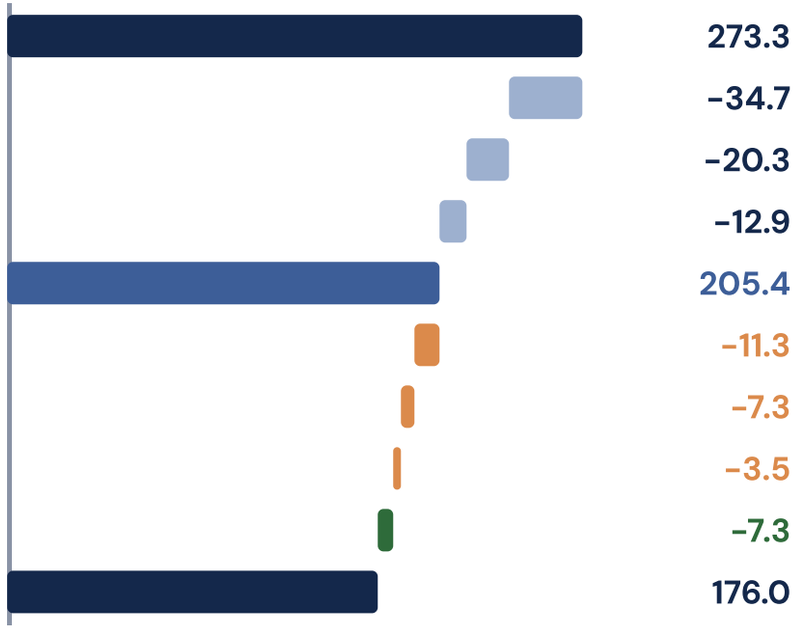
Sources: NeoGenomics FY2025 10-K, Q3 2025 10-Q, Q4 2025 and Q3 2026 results; peer FY2025 10-Ks and earnings releases. Figures marked EST are our estimates; method on each slide and in the notes page. Not investment advice.

PART 1 · SLIDE 5 DEEP DIVE

G&A, PEELED BACK IN LAYERS

FY2025 general & administrative costs of $273.3M · what is non-cash, what is one-off, what is the real back office

FROM $273M REPORTED TO $176M OF REAL BACK OFFICE ($M)



Reported G&A	273.3
- Stock-based pay EST	-34.7
- Depreciation EST	-20.3
- Amortization of acquired assets	-12.9
= Cash G&A	205.4
- Patent litigation (Natera)	-11.3
- Deal costs (Pathline etc.)	-7.3
- CEO transition	-3.5
- Exec cash pay & board fees	-7.3
= Core back office	176.0

SHARE OF SALES



Reported G&A	37.6%
Cash G&A	28.2%
Cash, ex one-offs	25.2%
Core back office	24.2%

HOW THE SPLIT WAS MADE

Amortization: $31.8M total less $18.9M the 10-K puts in cost of revenue. Stock pay: G&A was 84% of stock pay in Jan–Sep 2025 (10-Q), applied to the $41.3M year. Depreciation: the remainder of the $67.9M non-cash total.

Over a third of "overhead" ($97M) is not back-office spending at all. Cutting staff or vendors can only reach the $176M core (24% of sales), plus stock pay through policy.

Sources: NeoGenomics FY2025 10-K (segment note, cost-of-revenue note, G&A description, adjusted EBITDA reconciliation); Q3 2025 10-Q (stock pay by line); 2026 proxy. Hatched bars = estimated split.

PART 1 · SLIDE 5 DEEP DIVE

INSIDE THE $176M BACK OFFICE

Indicative split by function, FY2025 · NEO does not disclose this; ranges are our estimates

Function EST	$M	Range	% sales	What's in it
Billing & revenue cycle	**~55**	45–62	7.6%	Coding, claims, prior authorization, appeals, collections and client services across a broad oncology menu and thousands of payers. Days to collect: ~93.
IT & software	**~45**	38–52	6.2%	IT staff, lab information system, ERP, cloud and licenses. Software & tech rose $8.0M in 2025, the biggest non-pay increase.
Finance, HR, legal & admin staff	**~28**	22–34	3.8%	Accounting, FP&A, tax, SOX, investor relations, HR/recruiting, in-house legal, compliance, procurement.
Professional fees	**~16**	12–20	2.2%	Outside counsel (non-litigation), Deloitte audit ($2.8M), consultants, tax advisers. Down $2.1M in 2025.
Facilities, insurance & office	**~17**	13–20	2.3%	Fort Myers HQ and office space (part of $9.6M rent), D&O and liability insurance, utilities.
Other admin	**~15**	10–18	2.1%	Travel ($1.3M lower in 2025), recruiting, card-processing fees, equipment upkeep, dues and miscellaneous.
Core back office	**176.0**	**reported**	**24.2%**	**10-K: pay for executive, billing, finance, HR, IT and admin staff, plus fees, facilities and systems**

HARD ANCHORS

People ~60% of the core. Pay & benefits were the largest 2025 increase (+$11.5M) and 62% of lab-plus-overhead growth.

Known: audit $2.8M; rent $9.6M (labs + offices); 401(k) match $8.9M company-wide; headcount ~2,500 (+300 in 2025).

WHY ESTIMATE?

NEO reports G&A as one line; the 10-K lists what is in it but not how much. Ranges are sized from the 10-K drivers, the disclosures at left, and typical cost shares for specialty labs. Use them to size work, not as fact.

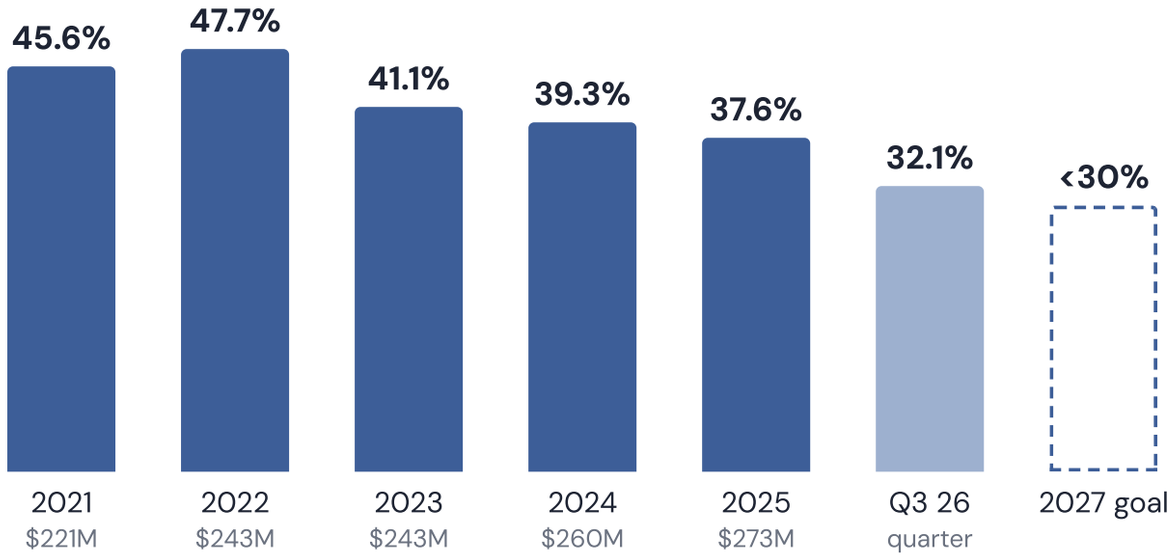
Sources: FY2025 10-K (G&A description and drivers, leases, 401(k)); 2026 proxy (audit fees); headcount from company profile data (Yahoo Finance/Fidelity, FY2025). Functional split estimated; see notes page.

PART 1 · SLIDE 5 DEEP DIVE

OVERHEAD FELL AS A SHARE, NOT IN DOLLARS

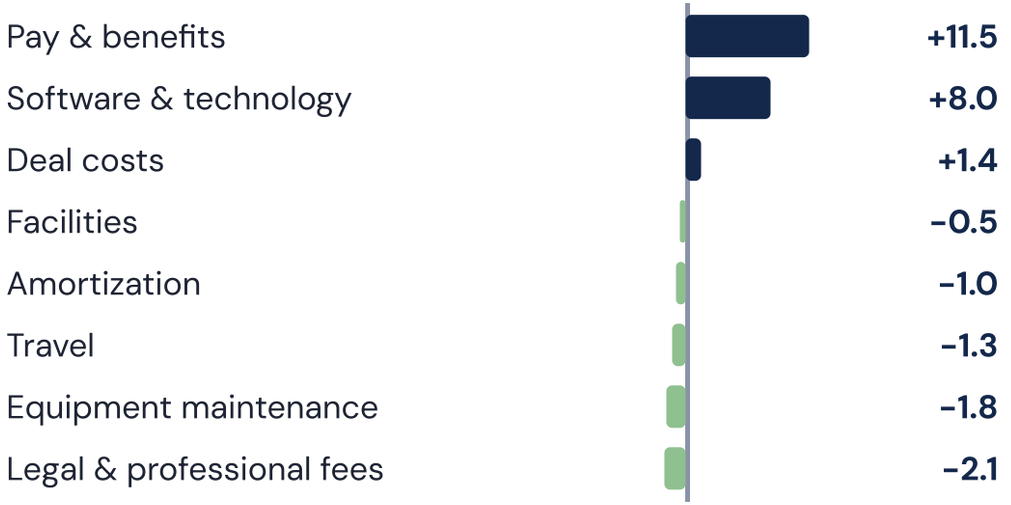
G&A FY2021–FY2025, Q3 2026, and what changed in 2025

G&A AS A SHARE OF SALES



Dollars rose in three of four years ($221M → $273M, +24%) but sales rose faster (+50%). The ratio fell because of growth, not cuts.

WHAT MOVED G&A IN 2025 ($M, +$13.6M NET)



People and systems added $19.5M; everything NEO cut came to $6.7M. Pathline integration put $4.7M into G&A.

Sources: NeoGenomics 10-Ks FY2021–FY2025 (income statement; FY2025 MD&A G&A drivers); Q3 2026 results. Q3 2026 is a single quarter.

PART 1 · SLIDE 5 DEEP DIVE

WHAT MANAGEMENT CAN ACTUALLY CUT

Each piece of FY2025 G&A by cash impact, recurrence and controllability

Piece of G&A	$M	% sales	Cash?	Recurs?	Can management cut it?
Core back office	176.0	24.2%	Cash	Recurring	**Yes: process, systems, sourcing, location**
Stock-based pay EST	34.7	4.8%	Non-cash	Recurring	**Yes, by policy; lifts profit, not cash**
Depreciation EST	20.3	2.8%	Non-cash	Recurring	**Only through lower capex over time**
Amortization	12.9	1.8%	Non-cash	Runs off	**No; set by past deals**
Litigation, deals, CEO change	22.1	3.0%	Cash	"One-time"	**Mostly rolled off ($2.6M Jan–Sep 2026), but $26M in 2024**
Exec cash pay & board	7.3	1.0%	Cash	Recurring	**Small; governance, not savings**
Total G&A	**273.3**	**37.6%**			

$176M cash pool

10% out of the core = $17.6M, 2.4 pts of sales. This is where the <30% goal has to come from.

$35M stock pay

Bringing it to 2.5% of sales would add ~$17M of reported profit, no cash.

$33M fixed by the past

Depreciation and amortization; ignore them when setting savings targets.

Sources: as slide 2; Q3 2026 investor presentation (one-off run-rate); FY2024 10-K (2024 one-offs). Savings figures are simple arithmetic, not company targets.

PART 2 · SLIDE 6 GAP ANALYSIS

THE GAP DEPENDS ON THE YARDSTICK

Overhead as a share of sales, FY2025 · routine labs vs. specialty and oncology labs

Company (FY2025)	Sales $M	SG&A	Sales & mktg	G&A	Note
Labcorp (routine)	13,952	15.9%	–	–	SG&A one line
Quest Diagnostics (routine)	11,035	17.8%	–	–	SG&A one line
Exact Sciences	3,250	59.7%	32.3%	27.4%	
Natera	2,306	51.1%	–	–	SG&A derived from 10-K change
Myriad Genetics	824	65.2%	34.1%	31.1%	G&A incl. amortization
NeoGenomics	**727**	**50.2%**	**12.6%**	**37.6%**	**48.5% ex amortization**
Veracyte	517	–	–	21.4%	S&M not retrieved
Castle Biosciences	344	66.6%	40.1%	26.5%	
Fulgent Genetics	323	49.6%	13.4%	36.2%	
Specialty median (where reported)		**59.7%**	**33.2%**	**27.4%**	

VS. QUEST & LABCORP

NEO is ~3× on SG&A. But they run a high-volume routine-test model with ~15–19× the sales.

VS. SPECIALTY LABS

NEO's total SG&A is **below** the median: it spends far less on selling (12.6% vs. 33%).

THE REAL OUTLIER

G&A: 37.6%, highest in the group, 10.2 pts over the specialty median, worth ~$74M a year.

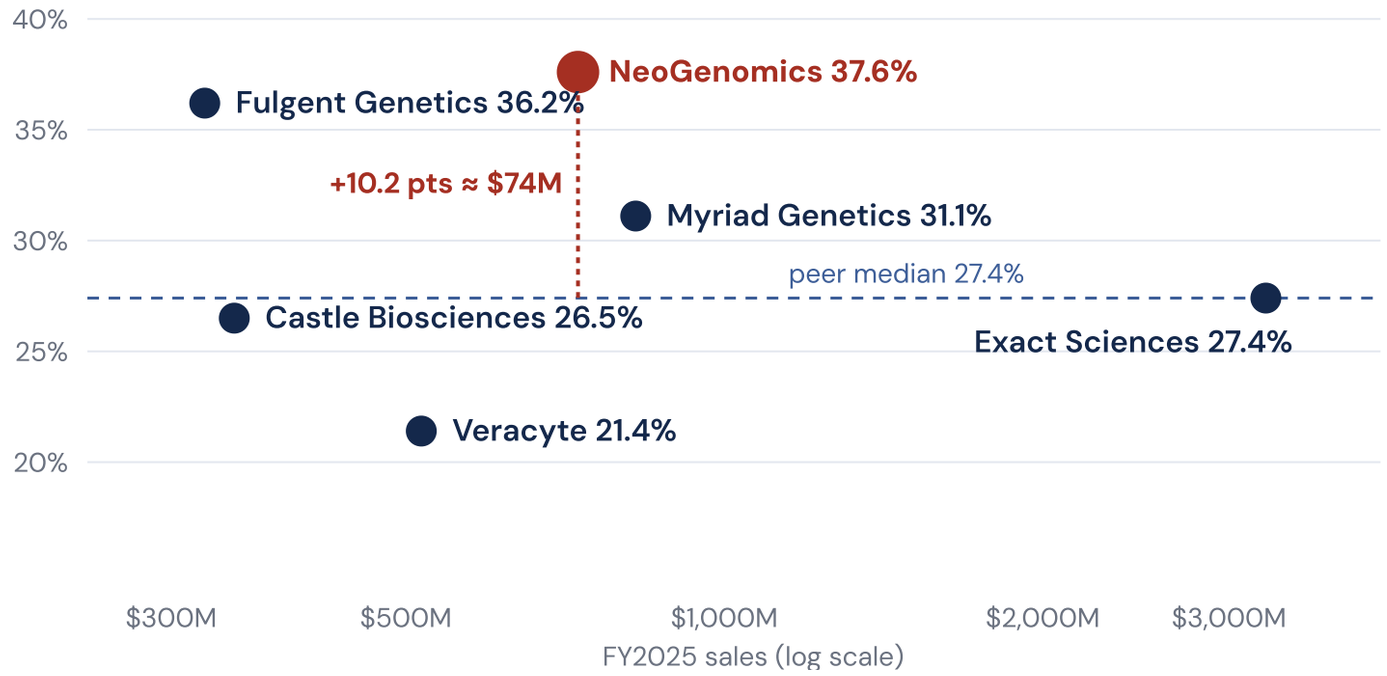
Sources: FY2025 10-Ks and Q4/FY2025 earnings releases for each company; Myriad S&M and Veracyte G&A from aggregator data matched to 10-K text; Natera SG&A derived from the 10-K's stated $335.9M (39.9%) increase. Exact figures from an untagged 10-K table. Company definitions differ.

PART 2 · SLIDE 6 GAP ANALYSIS

NEO'S G&A IS HIGH FOR ITS SIZE

Specialty peers that report G&A separately · Quest and Labcorp report only combined SG&A

G&A AS % OF SALES VS. COMPANY SIZE, FY2025



SCALE DOESN'T EXPLAIN IT

Veracyte and Castle are **smaller** than NEO and run G&A at 21–27%. Myriad, a similar size, is 6.5 pts lower despite carrying amortization in G&A.

FULGENT IS THE WARNING

The other lab built by acquisition with a lab-services mix (anatomic pathology, precision diagnostics) sits right next to NEO at 36.2%.

AND IT'S MOVING

Q3 2026 G&A was 32.1% of sales. Still above the median, but the gap has roughly halved.

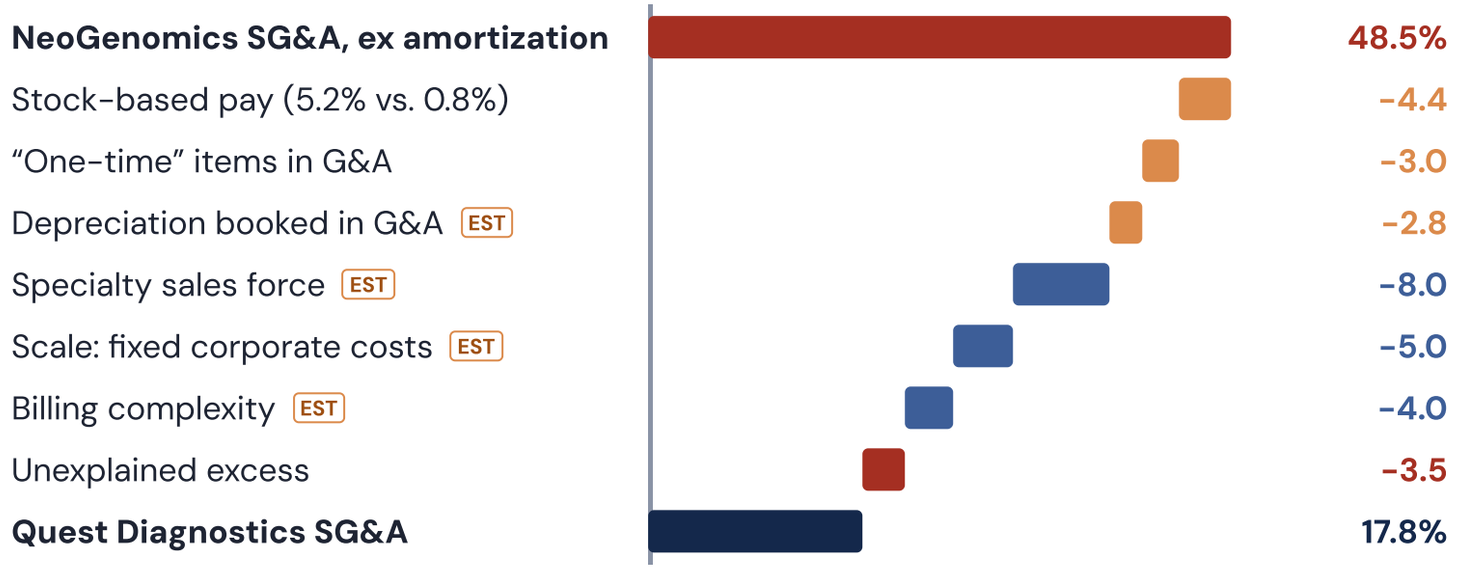
Sources: as previous slide. Peer G&A shown as reported, including each company's own stock pay and any D&A it books there.

PART 2 · SLIDE 6 GAP ANALYSIS

WHY NEO SPENDS 30 POINTS MORE THAN QUEST

Bridge of the 30.7-point SG&A gap ($223M a year at NEO's sales), FY2025

FROM 48.5% TO 17.8% OF SALES, IN POINTS



10.2 pts · $74M

Accounting & one-offs. Real costs, but not "overhead" in the sense of a bloated back office.

17 pts · $124M

Business model. A small oncology lab needs reps and a heavy billing desk. Shrinks only with scale.

3.5 pts · $25M

Excess. What a well-run lab of NEO's size and mix wouldn't spend.

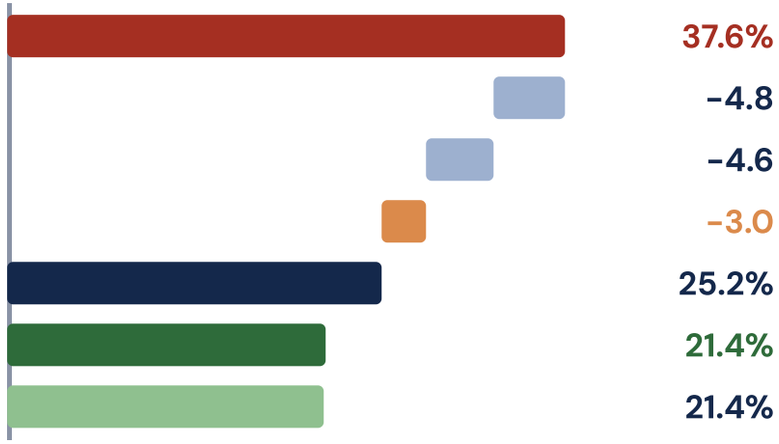
Method: stock pay and one-offs from filings (Quest stock pay $88M; Quest's own one-offs ignored, so these are upper bounds). Estimates: sales force = NEO S&M 12.6% less ~4.5% assumed for routine labs; scale = ~$36M of public-company core cost (exec, board, audit, SOX, IR, core finance/IT) at 5% of NEO's sales vs. <0.5% at Quest; billing = revenue-cycle cost ~7% vs. ~3%, consistent with 93 vs. ~48 days to collect.

PART 2 · SLIDE 6 GAP ANALYSIS

STRIP OUT THE ACCOUNTING: THE CASH GAP IS ~4 POINTS

NEO G&A normalized to recurring cash cost vs. the cleanest specialty comparisons, FY2025

G&A AS % OF SALES, LIKE FOR LIKE



NEO G&A, reported	37.6%
- Stock-based pay EST	-4.8
- Depreciation & amortization	-4.6
- "One-time" items	-3.0
= NEO cash G&A, recurring	25.2%
Castle G&A ex stock pay	21.4%
Veracyte G&A, reported (incl. stock pay)	21.4%

~3.8 pts ≈ $27M

The recurring cash gap to a lean specialty peer. Same size as the v2 deck's "overhead under 30%" prize (~$24M).

READ IT BOTH WAYS

The 30-point headline gap to Quest is mostly not cash you can take out. The 4-point gap is, and unlike the one-offs it comes back every year until fixed.

Target to hold management to: cash G&A (ex stock pay, D&A, one-offs) at or below 21% of sales. That is ~$27M at 2025 sales, more as sales grow if the dollars stay flat.

Sources: as slides 2 and 6; Castle FY2025 10-K (G&A $91.2M, of which stock pay $17.4M). Veracyte includes its stock pay, so its cash ratio is lower still.

PART 2 · SLIDE 6 GAP ANALYSIS

SIX REASONS NEO'S OVERHEAD RUNS HIGH

What the filings show behind the gap

1 · Four deals, never one company

Clarient (2015), Genoptix (2018), Inivata (2021), Pathline (2025). Six US labs, overlapping systems and teams. Deal and integration costs show up every year: $26M of "one-time" items in 2024, $50M in 2025.

2 · A slow, heavy billing machine

~93 days to get paid vs. ~48 at Quest, and getting worse (from ~80). Oncology tests need prior auth and appeals across thousands of payers; billing staff sit in G&A.

3 · Stock pay at 7× the big labs

$41.3M, 5.7% of sales vs. 0.8% at Quest and Labcorp; 79% of executive pay is equity. ~$35M of it lands in G&A.

4 · Leadership churn

Three CEOs since 2022 and a fourth (Warren Stone) from January 2027. 2025 carried $3.5M of transition costs and $7.7M of pay to two departed executives.

5 · Systems spend rising

Software & technology +$8.0M in 2025, the biggest non-pay increase. Running old and new platforms side by side costs double until the old ones are switched off.

6 · People ahead of sales

Headcount ~2,200 → ~2,500 (+14%) while sales grew 10%. G&A pay +$11.5M. Plus $11.3M of Natera patent litigation to defend RaDaR.

Accounting / one-off Business model (fix slowly) Management choices (fix now)

Sources: FY2025 10-K (history, one-offs, drivers, receivables); FY2024 10-K; 2026 proxy (pay); Q3 2026 results (CEO succession); Quest FY2024 10-K (days sales outstanding); headcount from company profile data. Departed-executive pay = Smith $4.05M + Harris $3.69M.

PART 2 · SLIDE 6 GAP ANALYSIS

CLOSING THE GAP: WHAT'S WORTH DOING

Actions mapped to the gap they close · sized from NEO's own numbers

Action	Gap it closes	Size / yr	Cash?	Status
Finish integration: one lab system, one billing platform, close duplicate sites	Excess + part of scale	$10–15M	Cash	In progress (2 dry labs closed 2026)
Revenue-cycle overhaul: automate prior auth and denials, cut days to collect toward 60	Billing complexity	$6–10M + ~$65M cash freed	Cash	Getting worse
Shared-services / offshore for finance, HR and billing back office	Excess + scale	$5–8M	Cash	Not started
Cap stock pay at ~2.5% of sales	Stock pay	~$17M profit	Non-cash	Not started
Hold G&A dollars flat while sales grow 10%/yr	Scale	~3.5 pts/yr	Both	Q3 2026 trend supports it
Stop calling recurring deal and legal costs "one-time"; budget for them	One-offs	Visibility	–	Rolled off in 2026

Realistic prize: $25–35M a year of cash G&A, taking cash G&A from 25% toward 21% of sales, plus the ~3.5 points a year that comes free from holding dollars flat. That covers half to two-thirds of the remaining $49M operating loss.

Don't chase Quest's 18%. NEO's model needs a sales force and a specialist billing desk. ~40% total SG&A is a credible medium-term goal.

Sizes are our estimates from FY2025 figures, not company targets; they overlap, so don't add them up. Cash freed from collections: ~33 days × $2.0M of sales a day. Not investment advice.

NOTES ON SOURCES AND METHOD

What is reported, what is estimated, and how

REPORTED (FROM FILINGS)

- NEO FY2025: sales $727.3M; G&A $273.3M; S&M $92.0M; amortization $31.8M ($18.9M in cost of revenue); stock pay $41.3M; depreciation $36.1M; litigation $11.3M, deal $7.3M, CEO transition $3.5M (10-K, Q4 2025 release).
- G&A drivers 2025: pay +$11.5M, software +$8.0M, deal +$1.4M, legal/professional -$2.1M, equipment -$1.8M, travel -$1.3M, amortization -$1.0M, facilities -$0.5M; Pathline integration $4.7M in G&A (10-K MD&A).
- Stock pay by line, Jan–Sep 2025: G&A $27.9M, S&M $2.3M, R&D $2.0M of $33.3M (Q3 2025 10-Q).
- Peers FY2025: Quest sales $11,035M, SG&A ~$1,967M, stock pay $88M; Labcorp $13,951.7M, SG&A $2,216.3M, stock pay ~$105M; Myriad $824.5M, G&A $256.8M; Exact $3,250M, S&M ~$1,050M, G&A ~$888.7M; Fulgent $322.7M, S&M $43.4M, G&A $116.7M; Castle $344.2M, SG&A $229.3M, G&A $91.2M (stock pay $17.4M); Veracyte $517.1M, G&A ~$110.8M; Natera $2,306.1M, SG&A ~$1,178M (derived).

ESTIMATED (OUR METHOD)

- **Stock pay in G&A $34.7M:** 84% nine-month G&A share applied to the full-year $41.3M.
- **Depreciation in G&A $20.3M:** $67.9M non-cash G&A less stock pay and $12.9M amortization.
- **Functional split of the $176M core:** sized from 10-K driver disclosures and typical specialty-lab cost shares; ranges shown.
- **Bridge to Quest:** sales-force gap assumes ~4.5% selling cost at routine labs (they don't report it); scale assumes ~$36M of fixed public-company core; billing assumes revenue-cycle cost ~7% vs. ~3%. Residual is what's left.
- Headcount (~2,500, +300) is from company-profile data, not the 10-K text.
- SEC.gov was not reachable from this session; figures were taken from company IR sites, filing mirrors and aggregators and should be spot-checked against EDGAR before external use.